EXOS OFFER TO SCORPIUS SPACE LAUNCH COMPANY

Board Overview

John M. Quinn | Cofounder & CEO, Exos Aerospace

October 10, 2026

CONFIDENTIAL — DRAFT — NEGOTIATING TERMS

The Decision

The Board is asked to confirm §3 exclusivity under the May 2025 Asset Acquisition Agreement.

Exclusivity period: 90 days from board confirmation; extension not unreasonably withheld (§3)
Holdback: 5% escrow, released at 12-month anniversary (§7)
Agreement basis: May 2025 Asset Acquisition Agreement — §3 exclusivity trigger

Where SSLC Stands Today

$198K

Cash on hand

Current working capital

$713K

Last quarter revenue

Most recent reported quarter

~$1.46M/qtr

Required to hit $5.1M

M1 milestone threshold

A $5.1M fiscal year requires approximately $1.46M per quarter — nearly double last quarter's pace of $713K — starting now. Exos's offer removes that funding risk and gives SSLC holders direct upside.

What SSLC Holders Receive

Cash at close	**$2.51M**
SSLC transaction costs	**$60K**
Exos stake credit (non-cash)	**$790K**
SSLC debts paid at face	**~$500K**
Working-capital bridge	**$500K**
① Cash & debt relief at close	**$4.36M**
+ Exos equity — EAI units at 409A (Rule 504, ~0.59%)	**$1.0M**
② Total at financing close	**$5.36M**

Issued at financing close
Restricted at issuance (Rule 504)
Part of RTO public float
Freely tradeable at listing

How Value Grows: Earn-Outs & Milestones

Earn-Out	Low	Base	High
Tank earn-out (5 yrs, IM revenue)	$750K	$1,250K	$1,500K
M1: FY2026-27 revenue ≥ $5.1M	$200K	$200K	$200K
M2: Nebula/OTV production contract signed	—	$200K	$200K
M3: SSLC annual revenue ≥ $10M	—	$250K	$250K
M4: SSLC annual revenue ≥ $20M	—	—	$250K
M5: BLK3 tank qualification complete	—	—	$200K
Stock earn-out at listing (additional equity)	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)

"The up-front price reflects what the numbers support today; the earn-outs are how that value grows as goals are met." — John M. Quinn

Total Offer Value

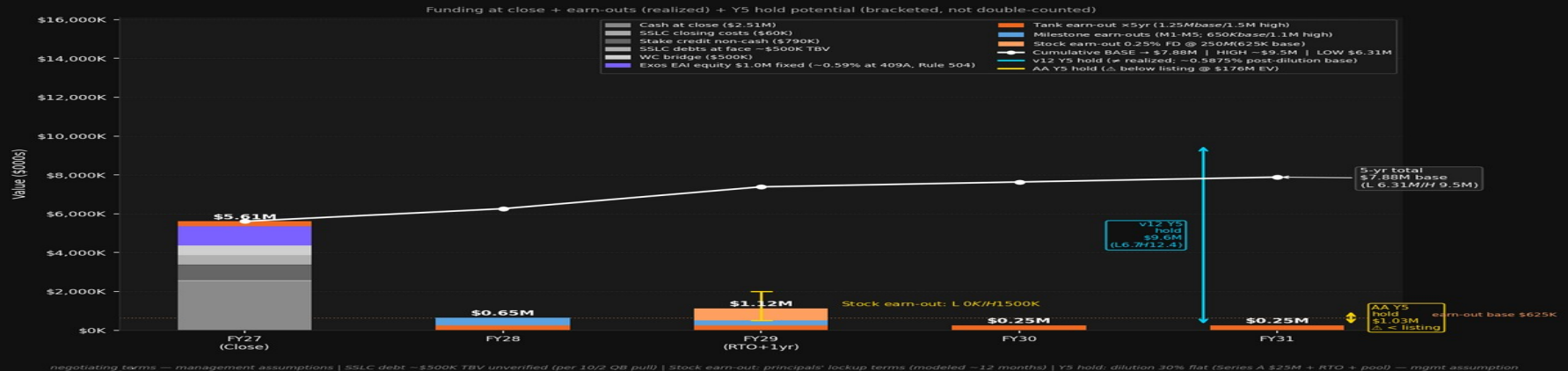
③ 5-Year Total (earn-outs realized)

Low	Base	High
$6.3M	$7.9M	$9.5M
5-yr realized	5-yr realized	5-yr realized

④ If Exos Stock Held to 2031 (projection)

Low	Base	High
$12.0M	$15.8M	$19.4M
if held to 2031	if held to 2031	if held to 2031

④ is a forward-looking projection, not a guarantee; an alternative to ③ — not added to it. RTO may not close.



negotiating terms — management assumptions | SSLC debt ~$500K TBV unverified (per 10/2 QB pull) | Stock earn-out: principals' lockup terms (modeled ~12 months) | Y5 hold: dilution 30% flat (Series A $25M + RTO + pool) — mgmt assumption

The Exos Stock

Instrument

$1.0M EAI units at the current 409A valuation (~$169.7M); ~0.59% fully diluted at issuance.

Offering

Part of Exos's Rule 504 Regulation D offering. U.S. persons only. Counts toward the $10M rolling 12-month cap.

Restricted at issuance

Units carry a restrictive legend at issuance (Rule 504 Reg D). Not freely tradeable prior to the RTO listing.

Public float at RTO

Structured to be part of the public float at going public. No principals' lockup applies to these units; locked-up shares would not count as float.

Freely tradeable at listing

Becomes freely tradeable at the RTO listing (no lockup on the up-front units). Covered by the RTO resale registration.

Timeline

Units issued at financing close. Targeted RTO ~6 months post-financing. Not assured — RTO may not close.

SSLC Employees

Employment Offer

Exos shall offer employment to SSLC employees — including management, support, engineering, and other technical and manufacturing employees — on terms no less favorable than their current terms with SSLC, including compensation and benefits.

Subject to each employee satisfying Exos's standard hiring policies and Exos's completion of confirmatory due diligence.

Key-Employee Option Pool

Exos will establish an option pool for key SSLC employees. The size and structure will be mutually agreed in the Definitive Agreement.

Designed to retain the talent that drives SSLC's mission continuity and milestones — including the programs that underpin the earn-out triggers.

Path to Close

1. **Board Confirms Exclusivity**
   Today — action requested at this meeting
2. **90-Day Exclusivity Window**
   Negotiation and diligence period begins
3. **Definitive Agreement**
   Key terms, employee pool, earn-out detail finalized
4. **Financing Close**
   Cash at close + EAI units issued; ① + stock = ②
5. **Targeted RTO**
   ~6 months post-financing; units tradeable at listing (not assured)

The Board is asked to confirm §3 exclusivity. Questions and open items welcome.